FERRARI N.V. (RACE)

Dual-Cohort Comparable Company Analysis

Evaluating Ferrari's Valuation Premium Through Veblen Brand Dynamics

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Financial Analysis Report
Analysis Period: 2023 – 2025
Target Company: Ferrari N.V.
Methodology: Comparable Company Analysis / Relative Valuation
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Date: July 2026

1. Executive Summary

This report examines whether Ferrari N.V. is priced by financial markets as a traditional automotive manufacturer or as an ultra-luxury consumer brand. The distinction matters because the two business models carry very different margin structures, growth expectations and, ultimately, valuation multiples.

To answer the question, a dual-cohort comparable company analysis was built using financial data for 2023–2025. The automotive cohort comprises Porsche AG and Aston Martin. The ultra-luxury cohort comprises Hermès, Ferretti Group and Brunello Cucinelli. Ferrari is assessed against both groups rather than assumed to belong to either one.

The analysis centres on Gross Profit Margin, EBITDA Margin, Enterprise Value and the EV/EBITDA multiple. Because the peer set reports in different currencies, all figures were converted into euros — income statement items at the relevant annual average exchange rate, balance sheet items used in the Enterprise Value calculation at year-end spot rates.

The results point in a fairly consistent direction: Ferrari's profitability and valuation profile sit closer to the ultra-luxury cohort than to the traditional automotive cohort. In 2025, Ferrari reported an EBITDA margin of 38.8% and traded at an EV/EBITDA multiple of 20.9x - roughly 2.4 times the EBITDA margin of its closest automotive peer, Porsche AG, and within the range occupied by Brunello Cucinelli and, in weaker years, Hermès. The regression fit between profitability and valuation is also considerably tighter within the luxury cohort ($R^2 = 0.947$) than within the automotive cohort ($R^2 = 0.725$), where a single company's earnings swing is enough to move the multiple by double digits.

Taken together, the evidence suggests that Ferrari's valuation premium is more plausibly explained by brand strength, pricing power and a deliberately constrained supply model than by anything specific to automotive manufacturing economics. That said, the analysis should be read as evidence of relative positioning, not as definitive proof of a causal Veblen effect; the sample is small, and correlation between margin and multiple does not, on its own, establish why investors are paying what they are paying for Ferrari shares.

2. Research Question

2.1 Research Question

Is Ferrari N.V. valued more like a traditional automotive manufacturer, or like an ultra-luxury consumer brand?

Ferrari occupies an unusual position within the global automotive industry. Unlike a conventional automaker, it builds in deliberately limited volumes, holds significant pricing power over its own customers, and operates a brand that functions as much as a status good as a means of transport. That combination raises a genuine valuation question: should Ferrari be benchmarked against automotive companies, where volume and capital intensity typically drive value, or against premium luxury-goods companies, where brand equity and scarcity do?

This study addresses that question directly, through a dual-cohort comparable company analysis that places Ferrari between the two reference groups rather than inside either one.

3. Conceptual Framework

3.1 Veblen Brand Dynamics

A Veblen good is a product for which a higher price can itself reinforce demand because the price signals exclusivity and status rather than simply reflecting cost. In markets that behave this way, scarcity, brand prestige and social signalling shape a buyer's willingness to pay at least as much as functional attributes do.

Ferrari is a useful case for examining these dynamics precisely because it sits at the intersection of two business models: a manufacturing operation with real production constraints, and a luxury brand with the pricing behaviour more commonly associated with fashion or hard-luxury houses. This analysis therefore asks a narrower, testable version of the Veblen question, not whether higher prices literally increase demand for Ferrari cars, but whether the company's profitability and market valuation look statistically closer to automotive manufacturers or to ultra-luxury consumer brands.

4. Methodology

4.1 Comparable Company Analysis

Comparable Company Analysis ("Comps") is a relative valuation method that infers how the market is pricing a company by benchmarking its financial performance and valuation multiples against a set of peers. It does not attempt to derive an intrinsic value from discounted cash flows; instead, it reveals where a company sits relative to groups the market already prices.

This study uses a dual-cohort structure specifically because a single peer group would presuppose the answer to the research question. Comparing Ferrari only to automakers would implicitly treat it as one; comparing it only to luxury houses would do the opposite. Running both comparisons in parallel lets the data indicates where Ferrari actually falls rather than the choice of peer group.

Table 1. Peer Group Composition

Cohort	Companies	Rationale
Automotive Cohort	Porsche AG; Aston Martin	Traditional premium/luxury automotive manufacturers
Ultra-Luxury Cohort	Hermès; Ferretti Group; Brunello Cucinelli	High-margin luxury and premium consumer brands
Target Company	Ferrari N.V.	Company under valuation analysis

Source: Company annual reports and author classification.

4.2 Financial Metrics

The analysis focuses on Gross Profit Margin and EBITDA Margin as indicators of operating profitability and pricing power, and on Enterprise Value and EV/EBITDA to assess how the market prices those operating characteristics. EBITDA Margin is calculated as EBITDA divided by Revenue; EV/EBITDA is Enterprise Value divided by EBITDA.

These metrics were chosen because they travel reasonably well across companies with very different capital structures and operating models; a boat builder, a leather-goods house and a sports-car manufacturer are not otherwise easy to line up on the same page.

4.3 Currency Normalization

Because the peer set reports in different currencies (Ferrari, Porsche AG, Hermès, Ferretti Group and Brunello Cucinelli in euros, Aston Martin in pounds sterling) all figures were converted into euros. Income statement items (Revenue, Gross Profit, EBITDA) were converted at the relevant annual average GBP/EUR exchange rate; balance sheet items feeding into the Enterprise Value calculation (debt, cash, market capitalization) were converted at the year-end spot rate, consistent with the point-in-time nature of an EV snapshot.

This distinction matters more than it might first appear: using a single blended rate for both flow and stock items would quietly distort the EV/EBITDA multiple for the one non-euro reporter in the sample.

5. Financial Analysis

5.1 Profitability Analysis

The first stage of the analysis looks at how efficiently each company converts revenue into operating profit, using Gross Profit Margin and EBITDA Margin as the two reference points.

Table 2. EBITDA Margin Comparison, 2023–2025

Company	Cohort	2023	2024	2025
Porsche AG	Automotive	26.7%	24.3%	16.2%
Aston Martin	Automotive	16.6%	16.0%	6.4%
Hermès	Luxury	47.8%	46.1%	46.8%
Ferretti Group	Luxury	12.4%	13.4%	14.7%
Brunello Cucinelli	Luxury	28.6%	28.5%	29.0%
Ferrari	**Target**	**38.2%**	**38.3%**	**38.8%**

Source: Company annual reports; author calculations.

The picture that emerges is not a clean split, and it is worth saying so plainly. Within the luxury cohort, Hermès sits in the high-40s throughout the period, and Brunello Cucinelli holds a stable, high-20s margin. But Ferretti Group, a builder of luxury yachts, runs EBITDA margins in the 12–15% range, closer to what one would expect from an industrial manufacturer than from a fashion house. Within the automotive cohort, Porsche AG's margin fell from 26.7% in 2023 to 16.2% in 2025, and Aston Martin's collapsed further, to just 6.4% in 2025, reflecting well-documented volume and cost pressure at the smaller manufacturer.

Ferrari, by contrast, has been remarkably stable: 38.2% in 2023, 38.3% in 2024 and 38.8% in 2025, and sits comfortably above every automotive peer in every year of the sample, and above every luxury peer except Hermès. That combination of a high absolute margin and low year-to-year variance is itself informative: it is the kind of profile associated with pricing power and a controlled order book, rather than with a business exposed to the volume cycles that show up clearly in the Porsche and Aston Martin numbers.

5.2 Valuation Analysis

Profitability on its own says nothing about how the market prices a company. The second stage therefore turns to Enterprise Value and the EV/EBITDA multiple.

Table 3. EV/EBITDA Valuation Multiples, 2023–2025

Company	Cohort	2023	2024	2025
Porsche AG	Automotive	7.2x	6.0x	8.2x

Company	Cohort	2023	2024	2025
Aston Martin	Automotive	9.7x	8.5x	24.1x
Hermès	Luxury	29.9x	33.4x	28.4x
Ferretti Group	Luxury	4.3x	4.4x	4.6x
Brunello Cucinelli	Luxury	20.2x	21.8x	18.8x
Ferrari	**Target**	**24.7x**	**29.4x**	**20.9x**

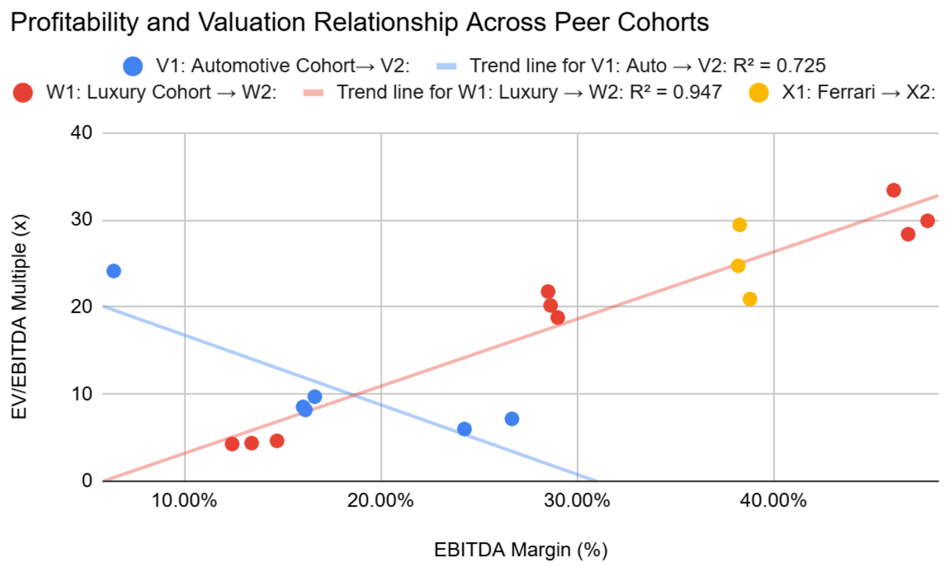
Source: Company financial statements, market data and author calculations.

Two things stand out, and one of them is a genuine wrinkle rather than a clean confirmation of the thesis. Porsche AG trades at a consistent, unremarkable 6x–8x EV/EBITDA across all three years, the kind of multiple typically associated with a capital-intensive manufacturer. Aston Martin, however, spikes to 24.1x in 2025, not because investors suddenly re-rated the company, but because its EBITDA compressed to just €94 million; a shrinking denominator mechanically inflates the ratio even when the numerator (Enterprise Value) is roughly flat. Read in isolation, that single data point would misleadingly suggest the automotive cohort trades near luxury-level multiples, it does not; it reflects a company under earnings pressure, and the analysis is more informative when that is stated rather than smoothed over.

On the luxury side, Hermès trades persistently in the high-20s to low-30s, Brunello Cucinelli in the high-teens to low-20s, and Ferretti Group (consistent with its lower, more industrial margin profile) at a modest 4.3x–4.6x, well below what its "luxury" label might suggest. Ferrari's multiple has ranged from 20.9x to 29.4x over the period, landing squarely inside the range set by Brunello Cucinelli and, in its stronger years, approaching Hermès. Against Porsche AG's steady mid-single-digit-to-low-double-digit multiple, the gap is wide and consistent across all three years, which is the more reliable signal here than any single year snapshot.

6. Ferrari's Position Within the Two Cohorts

Figure 1. EBITDA Margin vs. EV/EBITDA Multiple



Source: Company financial statements, market data and author calculations.

Figure 1 plots EBITDA margin against EV/EBITDA multiple for every company-year in the sample, with separate trend lines fitted to the automotive and luxury cohorts. The luxury cohort's fit is notably tight (R^2 = 0.947): within this group, higher margins are associated with higher multiples in a fairly disciplined, predictable way. The automotive cohort's fit is looser (R^2 = 0.725) and, as discussed above, is being pulled around by Aston Martin's 2025 earnings dip which is a reminder that the automotive relationship is more fragile than the luxury one, not necessarily that it is weaker in a structural sense.

Ferrari's three data points (2023–2025, shown in gold) cluster in the upper-right region of the chart, closer to the luxury cohort's trend line than to the automotive cohort's. This is not to say Ferrari sits exactly on the luxury regression line, it does not, and no single-industry label fits it perfectly, but its combination of a high, stable EBITDA margin (38–39%) and an EV/EBITDA multiple in the 21x–29x range places it decisively closer to the ultra-luxury cohort's valuation framework than to the automotive one.

7. Discussion

7.1 Why Does Ferrari Trade at a Luxury Premium?

A few threads from the data above help explain the premium, without any one of them being a complete answer on its own.

First, Ferrari's profitability is simply higher, and more stable, than its automotive peers'. A 38–39% EBITDA margin, essentially unmoved across three years in which Porsche AG's margin fell by more than ten percentage points, points to pricing power that survives ordinary industry volatility. The kind of resilience more commonly associated with a brand than with a manufacturing process.

Second, the market appears to be paying for that resilience. Ferrari's EV/EBITDA multiple has consistently sat two to four times higher than Porsche AG's, and in most years within reach of Brunello Cucinelli's. Investors are not simply paying more for each euro of Ferrari's EBITDA than they would for an automaker's, they are paying a multiple more typical of a company whose earnings are expected to hold up, or grow, without needing volume growth to do it.

Third, and less quantifiable but hard to ignore, Ferrari's production strategy is explicitly built around scarcity rather than volume maximization. The company has historically stated it will "always deliver one car less than the market demands." That is a luxury-goods playbook, not an automotive one, and it lines up with what the margin and multiple data are already showing.

None of this proves that Ferrari buyers behave as textbook Veblen consumers, for whom a higher price is itself the attraction. What the data does support is a narrower, more defensible claim: Ferrari's financial and valuation profile is statistically closer to a luxury-goods business than to a traditional automotive manufacturer, and that positioning is consistent, not a one-year artifact.

8. Limitations

8.1 Limitations of the Analysis

A few caveats are worth keeping in view. The peer groups are small : two automotive companies and three luxury companies. So any single company's idiosyncratic year, such as Aston Martin's 2025 earnings compression or Ferretti Group's more industrial margin structure, can move the cohort average more than it would in a larger sample. EV/EBITDA multiples also reflect forward-looking market expectations, not just trailing operating performance, so differences in expected growth, perceived risk and capital structure across the six companies are folded into the multiple alongside whatever the margin comparison is capturing.

Finally, this analysis demonstrates a consistent statistical association between Ferrari's profitability and valuation characteristics and those of the luxury cohort - it does not, and cannot, establish a causal Veblen effect in the strict economic sense. Confirming that would require demand-side evidence, such as how order volumes or waitlists respond to price changes, which sits outside the scope of a comparable company analysis.

9. Conclusion

This study asked whether Ferrari N.V. is valued more like a traditional automotive manufacturer or an ultra-luxury consumer brand, using a dual-cohort comparable company analysis built on 2023–2025 financial data.

The results point fairly consistently in one direction. Ferrari's profitability sits well above its automotive peers in every year of the sample, while its EV/EBITDA multiple sits substantially closer to the range occupied by Brunello Cucinelli and, in its stronger years, Hermès, than to Porsche AG's or a "normal-year" Aston Martin's.

In 2025, Ferrari generated a 38.8% EBITDA margin and traded at a 20.9x EV/EBITDA multiple. Combined with the tighter relationship observed between profitability and valuation within the luxury cohort (R^2 = 0.947, versus 0.725 for the automotive cohort), the evidence supports reading Ferrari as a luxury-oriented business rather than a conventional automotive manufacturer.

The analysis does not and does not claim to establish a causal Veblen effect. What it does show is that Ferrari's margin structure, its stability over time, and the multiple the market assigns to it are all more consistent with an ultra-luxury business model than with the automotive industry it is nominally classified in.

10. Supporting Financial Model

The detailed financial data, currency-normalization calculations and valuation multiples underlying this report are available in the supporting workbook: *Ferrari_Dual_Cohort_Valuation_Model* (Dashboard / Calculations / Raw Data tabs).